



Rental income from property

Potentially one of the most lucrative investments for generating income, property can also be risky because, unlike financial products such as bonds, it also generates expenses, and requires maintenance.

Rental income



Landlord expenses



High rental yield



An investor buys a house and becomes a landlord in an industrial town with a high population of seasonal workers. Demand for short-term rentals is strong.



In the first year, the investor-landlord has to repair the heating system, on top of meeting insurance costs and mortgage interest payments.

Low rental yield



An investor buys a house and becomes a landlord in a booming city. House prices are high, but people are only renting in the short term before they buy.



The investor-landlord has to pay for repainting. Their interest payments are high because the deposit amount was minimal and the loan amount is large.